recommended that the maximum marginal rate of income-tax, including surcharge, should be brought down from its present level of 97.75 per cent to 75 per cent.'

The finance minister went on to reduce the marginal rate of basic income tax to 70 per cent on income in the slab over Rs 70,000. Rate of surcharge was also reduced to a uniform level of 10 per cent. Accordingly, the marginal rate of income tax was brought down to 77 per cent in the highest slab of taxation.

The effect of high rates of income tax was that direct tax collections in the country remained relatively much smaller than indirect taxes. A 77 per cent marginal rate of tax was better than 97.75 per cent but still hugely unattractive to unleash the animal spirits of businessmen and individuals to earn more profits and income.

In 1980–81, the share of direct taxes in total tax collections was quite low, at about 22 per cent.

Marginal income tax was brought down to 50 per cent in 1985–86, to 40 per cent in 1992–93 and to the lowest rate to date of 30 per cent in 1997–98.

The movement towards reasonableness started making a difference. The share of direct taxes was very low at 19 per cent in 1990–91, but increased to about 30 per cent by 1995–96 and crossed 35 per cent at the turn of the century. It crossed 50 per cent of total tax collections for the first time in 2007–08 and was at the highest level of over 55 per cent in 2008–09.

It remained in excess of 50 per cent thereafter until 2015–16. It fell to 48.6 per cent in 2016–17 when excise duties were hiked on petroleum products, but returned to being higher than 50 per cent from 2017–18 onward, not because of any higher buoyancy in direct taxes but because indirect tax revenues suffered badly after the introduction of GST.